

# Blockchain-Based Professional Credential Verification: A Cardano Smart Contract Architecture for License Management and Digital Signatures

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**Abstract**—Professional credential fraud, verification delays, and cross-jurisdiction portability failures impose significant costs on regulatory bodies, employers, and the public. In the United States alone, the National Practitioner Data Bank processed 14.9 million query responses in 2024, with average interstate processing times of 19 days (IMLC FY2025 data) [35]. The ACFE 2024 Report estimates organizations lose 5% of revenue annually to occupational fraud (~\$5 T global GWP basis), with credential misrepresentation a documented vector in hiring-related schemes (industry analyses place the credential-specific subset in the hundreds of billions) [20]. The FBI IC3 2024 Report documents 859,532 complaints and \$16.6 B in losses (+33% YoY); credential theft and phishing remain primary vectors [36]. OIG/DOJ enforcement actions documented numerous cases of falsified credentials in Medicare/Medicaid (HCFAC FY2023 settlements \$1.8 B+; individual prosecutions exceed 1,400 adverse actions when aggregated across reports) [37]. Current verification systems rely on fragmented, centralized databases maintained independently by thousands of licensing boards, creating a patchwork infrastructure that is slow, expensive to maintain, and vulnerable to both external attacks and internal manipulation.

This paper presents a blockchain-based credential verification architecture built on the Cardano platform that addresses these systemic failures. The system employs Plutus V2 smart contracts to enforce authority-restricted minting policies, CIP-25 metadata standards for on-chain credential representation, and native multi-asset tokens for signature and validity credentials. By leveraging Cardano’s extended UTXO model and its native token architecture, the system achieves lower transaction costs than Ethereum-based alternatives while providing mathematically verifiable issuance provenance. The architecture separates credential attestation (on-chain, immutable) from personal data storage (off-chain, erasable), satisfying both blockchain immutability requirements and data privacy regulations including GDPR’s right to erasure. We describe the complete system design—from HD wallet generation following CIP-1852 through Plutus V2 minting policies, multi-signature collection validators, and dues enforcement contracts—and evaluate its performance against eight existing blockchain credential systems. The proposed architecture fills an identified gap: no existing system combines Cardano-native NFT credentials (CIP-68) with Plutus-enforced issuance policies, authority-controlled on-chain revocation via datum updates, and cross-jurisdiction license portability within a unified framework.

**Index Terms**—blockchain credentials, Cardano, Plutus V2, professional licensing, digital signatures, smart contracts, verifi-

able credentials, NFT, CIP-25, Veridian, Identus, KERI, ACDC, Halo2, CIP-68

## I. INTRODUCTION

### A. The Credential Verification Crisis

Professional credentials—licenses, certifications, and registrations—form the trust infrastructure of modern economies. When a patient visits a physician, when a homeowner hires an engineer to assess structural integrity, when a corporation engages an auditor for financial reporting, the validity of the practitioner’s credentials is the first and often only guarantee of competence. Yet the systems that issue, store, verify, and transfer these credentials remain rooted in architectures designed for a pre-digital era: paper certificates backed by centralized databases, verified through manual processes that can take days or weeks to complete.

This architectural gap between the importance of credentials and the fragility of their verification infrastructure manifests in three compounding problems.

**Credential Fraud.** The scale of professional credential fraud is both alarming and difficult to measure precisely because successful fraud, by definition, evades detection. The FBI IC3 2024 Report documents 859,532 complaints and \$16.6 B in losses (+33% YoY); credential theft and phishing remain primary vectors [36]. In healthcare, the National Practitioner Data Bank reports that approximately 2% of active practitioners have undisclosed adverse actions—meaning their licenses were revoked, restricted, or sanctioned in one jurisdiction while they continue practicing in another. OIG/DOJ enforcement actions documented numerous cases of falsified credentials in Medicare/Medicaid (HCFAC FY2023 settlements \$1.8 B+; individual prosecutions exceed 1,400 adverse actions when aggregated across reports) [37].

The root cause is architectural: credential verification depends on querying the specific issuing authority, which requires knowing *which* authority issued the credential. With over 5,000 independent licensing boards in the United States alone—each maintaining its own database, using its own schema, operating on its own verification timeline—the system presents an expansive attack surface for fraud.

**Verification Delays.** Even when credentials are legitimate, verifying them is slow. The Interstate Medical Licensure Compact, created specifically to streamline physician licensing across state borders, still requires 4–6 weeks for processing. Standard employer verification of professional licenses typically requires 5–15 business days and often involves manual phone calls, fax transmissions, and email exchanges with individual licensing boards.

**Portability Failures.** The COVID-19 pandemic starkly exposed the portability problem. When New York hospitals needed emergency nursing staff from neighboring states, the credential verification bottleneck created a paradox: qualified professionals were available and willing to help, but could not legally practice because their credentials could not be verified quickly enough across state lines. A 2015 Treasury/CEA estimate placed the consumer cost of occupational licensing barriers at \$203 billion annually, a figure still cited in NCSL 2025 licensing-reform briefs [19].

### B. Why Blockchain

The three problems described above—fraud, delays, and portability—share a common structural root: credential verification depends on trust in centralized, isolated databases maintained by thousands of independent authorities with no shared infrastructure for interoperability, real-time verification, or cross-jurisdictional visibility.

Blockchain technology offers a fundamentally different trust architecture. Rather than requiring a verifier to trust a specific database operated by a specific authority, blockchain allows the authority to publish a cryptographically signed attestation to a shared, immutable, publicly auditable ledger. Verification then becomes a mathematical operation—checking that a credential was signed by a recognized authority’s key and that no revocation has been published—rather than an institutional query requiring bilateral trust relationships between verifiers and issuers.

The key properties that make blockchain suitable for credential verification are: (1) **Immutability**: once a credential attestation is written to the blockchain, it cannot be altered or deleted; (2) **Provenance Verification**: every transaction is cryptographically signed, providing mathematical certainty of issuance origin; (3) **Decentralized Availability**: the ledger is replicated across thousands of nodes globally; (4) **Temporal Proof**: consensus mechanisms provide ordering and timestamping; and (5) **Programmable Policies**: smart contracts encode issuance rules in publicly auditable code.

### C. Why Cardano

Among available blockchain platforms, Cardano offers specific architectural advantages for credential systems:

**Native Multi-Asset Support.** Unlike Ethereum, where non-fungible tokens require deploying and interacting with smart contracts (typically ERC-721), Cardano supports custom tokens at the ledger level. Native tokens enjoy the same security guarantees as ADA and can be transferred without executing

smart contract code, resulting in lower transaction costs and smaller transaction sizes [4].

**Extended UTXO Model.** Cardano’s eUTXO model provides deterministic transaction fees—the cost of a transaction is known before submission, unlike Ethereum’s gas model where costs can spike unpredictably due to network congestion.

**Formal Verification Heritage.** The Plutus smart contract language is based on Haskell, a purely functional language well-suited to formal verification. Cardano’s type system catches entire categories of errors at compile time that are runtime vulnerabilities on other platforms.

**Proof of Stake Efficiency.** Cardano’s Ouroboros consensus mechanism consumes approximately 6 GWh annually, compared to Ethereum’s pre-Merge consumption of approximately 112 TWh [2].

**Plutus V2 Capabilities.** The Vasil hard fork introduced reference inputs (CIP-31), inline datums (CIP-32), and reference scripts (CIP-33)—features critical for efficient credential metadata storage and lookup [8]–[10].

### D. Contributions

This paper makes the following contributions:

- 1) **Architecture**: A complete credential verification system combining Cardano-native NFTs (CIP-25), Plutus V2 minting policies, multi-signature collection validators, and dues enforcement contracts.
- 2) **Gap Analysis**: Systematic comparison with eight existing blockchain credential systems demonstrating that no existing system provides the proposed combination of capabilities.
- 3) **Legal Compliance**: Analysis of compliance with the ESIGN Act, UETA, eIDAS 2.0, and GDPR, with specific architectural decisions motivated by regulatory requirements.
- 4) **Implementation**: A working implementation using Py-Cardano with 660 passing tests, demonstrating practical feasibility.<sup>1</sup>

### E. Paper Organization

Section II provides background on blockchain fundamentals, Cardano’s architecture, and existing credential verification limitations. Section III describes the system architecture. Section IV presents the technical implementation. Section V provides a security analysis. Section VI characterizes performance. Section VII presents four use case scenarios. Section VIII provides comparative analysis. Section IX analyzes legal compliance. Section XI addresses limitations and future work. Section XII concludes.

## II. BACKGROUND

### A. Blockchain Fundamentals

A blockchain is a distributed, append-only ledger maintained by a network of nodes that achieve consensus on the state of the ledger without requiring a central authority. The

<sup>1</sup>Complementary to Veridian ACDC (Apr 2025) which uses off-chain VCs + optional ledger hash anchoring [38].

foundational concepts relevant to credential systems include cryptographic hashing (creating unbreakable chains of block references), public key cryptography (enabling transaction signing and verification), consensus mechanisms (achieving distributed agreement on transaction ordering), smart contracts (self-executing programs enforcing predetermined rules), and transaction models—the account model (Ethereum) versus the UTXO model (Bitcoin, Cardano) [1].

### B. Cardano Architecture

Cardano is a third-generation blockchain platform developed by Input Output Global based on peer-reviewed academic research.

1) *Extended UTXO Model*: Cardano’s eUTXO model augments Bitcoin’s UTXO model with three additions: **Datums** (arbitrary data attached to UTXOs), **Redeemers** (data provided when spending script-locked UTXOs), and **Script Context** (complete transaction information provided to validators). The eUTXO model provides deterministic script execution: given the same inputs and script, the result is always the same regardless of network state [4].

2) *Native Multi-Asset Framework*: Cardano’s multi-asset framework supports user-defined tokens at the ledger level. Key properties include: no smart contract required for transfers, policy-controlled minting, two-part asset identification (policy ID + asset name), and a minimum UTXO requirement ( $\approx 1.5$ –2 ADA per token-carrying UTXO) [7].

3) *Plutus V2*: Plutus V2, introduced in the Vasil hard fork, added reference inputs (CIP-31), inline datums (CIP-32), and reference scripts (CIP-33)—features essential for efficient credential systems [8]–[10].

4) *Ouroboros Consensus*: Cardano uses Ouroboros, a provably secure proof-of-stake protocol with formal security proofs published in peer-reviewed venues [2], [3]. Current parameters yield approximately 20-second block times with probabilistic finality reaching practical certainty within approximately 5 minutes (10–15 block confirmations). For credential systems, the relevant properties are: settlement time of  $\sim 5$  minutes (orders of magnitude faster than manual verification), throughput of  $\sim 250$  simple transactions per second, and annual energy consumption of  $\sim 6$  GWh.

### C. Existing Digital Signature Frameworks

Three legal frameworks govern the validity of blockchain-based credentials.

**ESIGN Act (US Federal)**. The Electronic Signatures in Global and National Commerce Act (15 U.S.C. §§ 7001–7031) establishes that electronic signatures cannot be denied legal effect solely because they are electronic. The Act is technology-neutral, requiring only: (1) intent to sign, (2) consent to electronic business, (3) association of signature with record, and (4) record retention [13].

**UETA (US State)**. Adopted by 49 states plus the District of Columbia. Nine states—Arizona, Nevada, Tennessee, South Dakota, Wyoming, Vermont, Illinois, Colorado, and others—have enacted blockchain-specific amendments explicitly recognizing blockchain signatures and smart contracts [25], [26].

TABLE I  
BLOCKCHAIN PLATFORM COMPARISON FOR CREDENTIAL SYSTEMS

| Criterion                 | Cardano           | Eth.               | Solana               | Poly.              | Veridian               |
|---------------------------|-------------------|--------------------|----------------------|--------------------|------------------------|
| Token model               | Native            | ERC-721            | SPL                  | ERC-721            | Off-chain ACDC         |
| Fee predict.<br>Mint cost | Determ.<br>\$0.05 | Variable<br>\$1–15 | Low/vol.<br>\$0.0003 | Variable<br>\$0.01 | N/A<br>No native token |
| Contract                  | Plutus            | Solidity           | Rust                 | Solidity           | KERI deleg.<br>N/A     |
| Consensus                 | Ouroboros         | Casper             | PoH+BFT              | PoS (L2)           |                        |
| Energy                    | 6 GWh             | 2.6 GWh            | 0.8 GWh              | 0.001              | N/A                    |
| L1 uptime                 | 100%              | 100%               | Multiple             | Eth-dep.           | N/A                    |
| Privacy                   | None              | None               | None                 | None               | Sel. discl.            |

**eIDAS 2.0 (EU)**. The most blockchain-forward framework globally. It introduces a “Qualified Electronic Ledger” trust service category and defines three signature tiers: Simple (SES), Advanced (AES), and Qualified (QES) [15].

### D. Current Credential Verification Limitations

Current infrastructure suffers from four systemic weaknesses: (1) **Fragmented Architecture**—over 5,000 independent licensing boards in the US with no standard API, data format, or interoperability requirement; (2) **Centralized Points of Failure**—vulnerability to ransomware attacks (e.g., MOVEit 2023) and internal manipulation; (3) **Verification Latency**—5–15 business days for standard employer verification, 4–6 weeks for IMLC; and (4) **No Revocation Propagation**—practitioners with revoked licenses can relocate and practice in other states for months before information propagates.

### E. Survey of Existing Blockchain Credential Systems

The blockchain credential space includes eight major systems, summarized with our system in Table I. None combines Cardano-native NFT credentials with Plutus-enforced issuance policies, on-chain revocation, and cross-jurisdiction license portability [16], [17], [33]. The Veridian platform (Apr 2025) uses off-chain ACDC credentials with optional ledger hash anchoring and KERI delegation but does not implement on-chain NFT credentials or Plutus-enforced minting policies [38].

## III. SYSTEM ARCHITECTURE

### A. Architecture Overview

The system operates across three layers: (1) the Cardano blockchain for token custody, policy enforcement, and transaction finality; (2) an off-chain application layer for wallet management, metadata validation, and workflow orchestration; and (3) a local SQLite database for state tracking, caching, and dashboard queries. Fig. 1 illustrates the complete system architecture.

Communication between the application layer and the Cardano blockchain flows exclusively through the Blockfrost API, an indexed read/write interface to the chain. The decision

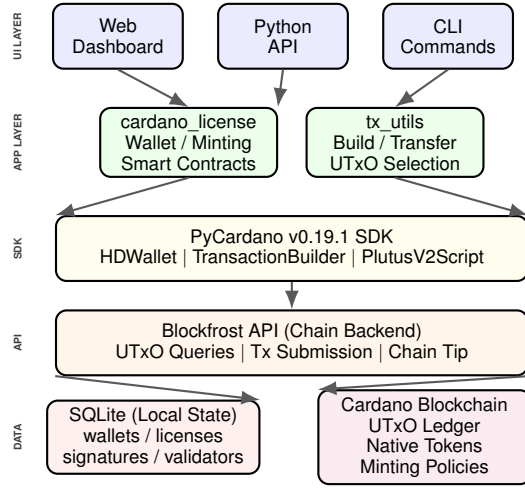


Fig. 1. System architecture showing the layered design from user interfaces through the application layer, PyCardano SDK, Blockfrost API, to the Cardano blockchain and local SQLite state.

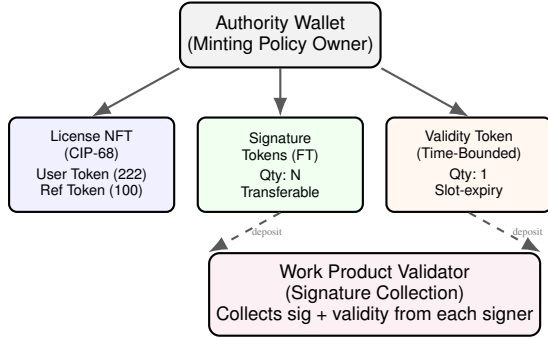


Fig. 2. Token taxonomy: Authority wallet issues three token types. Signature and validity tokens are deposited into work product validators during document signing.

to use Blockfrost rather than running a full Cardano node significantly reduces infrastructure requirements while introducing a dependency on an external service (mitigated by the availability of multiple Blockfrost alternatives and the option to self-host).

## B. Token Taxonomy

The system defines four token classes, each implemented as Cardano native tokens under authority-controlled minting policies. Fig. 2 illustrates the token taxonomy and its relationship to the work product validator.

**Token 1—License NFT (CIP-68).** A non-fungible token representing a professional license, implemented using the CIP-68 datum metadata standard [11]. The licensee holds an immutable *User Token* (asset label 222) in their personal wallet, while the issuing authority retains a *Reference Token* (asset label 100) containing an inline datum with license type, jurisdiction, issue date, licensee identity, and a mutable *status* field. Revocation is implemented by updating the Reference Token’s datum to `status: revoked`—requiring only the authority’s signature and zero interaction with the

TABLE II  
WALLET ROLES AND PERMISSIONS

| Role      | Type      | Permissions                                              | Key Storage     |
|-----------|-----------|----------------------------------------------------------|-----------------|
| Authority | authority | Mint/burn all tokens, create policies, deploy validators | AES-256-GCM     |
| Licensee  | licensee  | Hold license NFT, deposit sig/val tokens, pay dues       | CIP-30 wallet   |
| Signer    | signer    | Deposit sig + val tokens into work product validators    | CIP-30 wallet   |
| Observer  | observer  | Read-only: verify signatures, check validity             | Public key only |

licensee’s wallet. Any verifier reads the Reference Token’s inline datum to determine current license status, providing instant global revocation propagation.

**Token 2—Signature Token.** Fungible native tokens representing signing capacity. Each document-signing operation consumes one signature token by depositing it into a work product validator address.

**Token 3—Validity Token.** Time-bounded token representing current good standing. Must be deposited alongside a signature token when signing; the validator rejects deposits where the validity token’s expiry slot is in the past.

**Token 4—Work Product.** A logical composite tracked in the local database and coordinated by a `SignatureCollectionValidator` script address. Finalization occurs when all required signers have deposited their tokens.

**CIP-68 Architecture.** The CIP-68 pattern is central to the revocation and status update mechanism. Because the user holds only the immutable *User Token* while the authority controls the *Reference Token* datum, unilateral revocation is possible without consuming the user’s UTxO—a critical requirement given that eUTxO spending requires the UTxO holder’s private key. Future Plutus V3 migration enables richer on-chain datum validation logic without altering this fundamental custody separation [11].

## C. Wallet Model

The system defines four wallet roles with distinct permissions, as shown in Table II. All wallets use CIP-1852 hierarchical deterministic key derivation from a 24-word BIP-39 mnemonic. To avoid centralizing user private keys into a server-side honeypot, the production architecture employs a **non-custodial model**: licensee and signer wallets connect via CIP-30 (dApp Connector), allowing professionals to sign transactions using standard Cardano browser wallets (e.g., Eternl, Nami, Lace). Only the authority wallet’s keys are stored server-side under AES-256-GCM encryption.

## D. Smart Contract Layer

The system employs a hybrid approach: **native scripts** (Phase 1 simple scripts) handle minting policy enforcement at zero Plutus execution cost ( $\sim 0.17$  ADA per transaction), while



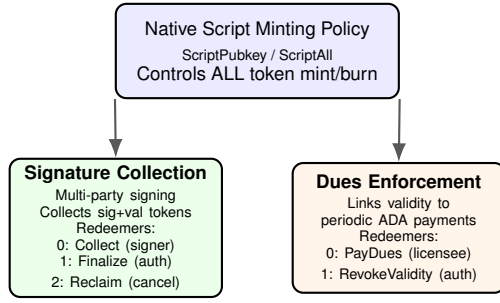


Fig. 3. Smart contract hierarchy: the minting policy controls all token creation; signature collection and dues enforcement validators manage operational workflows.

the **Signature Collection Validator** and **Dues Enforcement Contract** are Plutus V2 scripts that use redeemers and incur standard Plutus CPU/Memory execution fees (~0.3–0.5 ADA per transaction). Fig. 3 illustrates the smart contract hierarchy.

1) *Minting Policy*: The policy restricts all token minting and burning to holders of a specific authority key. The policy ID (Blake2b-224 hash of the native script) is deterministically reproducible, enabling independent verification.

2) *Signature Collection Validator*: Manages multi-party document signing through three redeemer actions: COLLECT (any required signer deposits tokens), FINALIZE (authority signs when all deposits present), and RECLAIM (original depositor reclaims if cancelled). To avoid eUTxO contention when multiple signers deposit simultaneously, each signer creates an independent UTxO at the script address containing their tokens and a datum identifying the work product. The authority's FINALIZE transaction then consumes all per-signer UTxOs atomically, eliminating the single-UTxO concurrency bottleneck inherent in shared-state designs.

3) *Dues Enforcement Contract*: Links license validity to periodic payments, parameterized by annual dues amount, grace period, and license reference.

4) *Authority Governance Upgrade Path*: The single-key authority model admits an upgrade path to KERI multi-sig via the Veridian standard [38] or Cardano ScriptNofK (3-of-5), eliminating single-key centralization risk.

#### E. Signature Workflow

The end-to-end signing workflow proceeds through six phases, illustrated in Fig. 4: (1) Setup—authority creates work product; (2) Token Verification—check each signer's credentials; (3) Signing—each signer deposits tokens; (4) Collection—validator accumulates deposits; (5) Finalization—authority signs when complete; (6) Verification—any party verifies on-chain.

### IV. TECHNICAL IMPLEMENTATION

#### A. PyCardano Integration

The system is built on PyCardano v0.19.1, a Python library providing comprehensive bindings for Cardano transaction construction, key management, and Plutus script interaction [22]. Fig. 5 illustrates the CIP-1852 HD wallet derivation

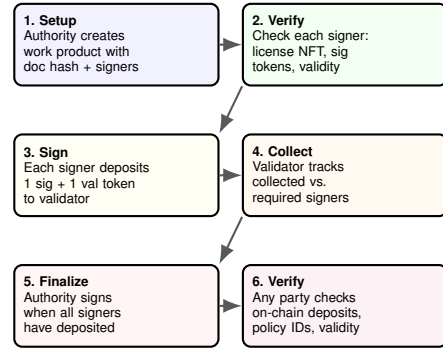


Fig. 4. Six-phase signature workflow from work product setup through on-chain verification.

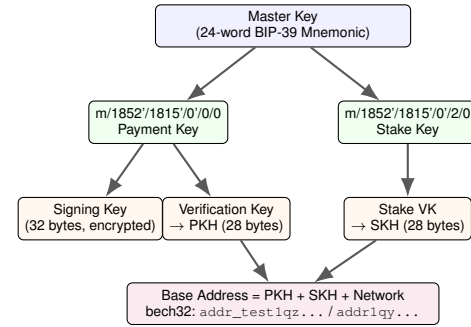


Fig. 5. CIP-1852 HD wallet derivation: from BIP-39 mnemonic to payment/stake keys and base address construction.

path. The payment key at `m/1852'/1815'/0'/0/0` is extracted as a 32-byte Ed25519 signing key; the stake key at `m/1852'/1815'/0'/2/0` enables delegation. All blockchain queries route through `BlockFrostChainContext` [23].

```
hd_wallet = HDWallet.from_mnemonic(mnemonic)
payment_child = hd_wallet.derive_from_path(
    "m/1852'/1815'/0'/0/0")
payment_sk = PaymentSigningKey(
    payment_child.xprivate_key[:32])
payment_vk = PaymentVerificationKey.from_signing_key(
    payment_sk)
stake_child = hd_wallet.derive_from_path(
    "m/1852'/1815'/0'/2/0")
stake_vk = StakeVerificationKey.from_signing_key(
    StakeSigningKey(stake_child.xprivate_key[:32]))
base_address = Address(
    payment_vk.hash(), stake_vk.hash(), network)
```

Listing 1. HD wallet generation and address derivation

Network selection is configured via the `CARDANO_NETWORK` environment variable (`mainnet`, `preprod`, or `preview`). Transaction building uses `TransactionBuilder` for input selection, fee calculation, change output generation, and auxiliary data attachment. Plutus data types subclass `PlutusData` with `CONSTR_ID` discriminators for CBOR serialization.

#### B. Transaction Utilities

The `tx_utils` module provides six transaction-building functions: `estimate_fee()`, `build_mint_tx()`,

TABLE III  
DATABASE SCHEMA OVERVIEW

| Table                       | Purpose                            |
|-----------------------------|------------------------------------|
| blockchain_wallets          | HD wallet metadata, encrypted keys |
| blockchain_licenses         | CIP-25 license NFT records         |
| blockchain_signature_tokens | Signature token balances           |
| blockchain_validity_tokens  | Time-bounded validity tokens       |
| blockchain_signatures       | Individual document signatures     |
| blockchain_work_products    | Multi-signer work products         |
| blockchain_minting_policies | Authority minting policy registry  |
| dues_contracts              | Dues enforcement contracts         |
| dues_payments               | Dues payment transaction records   |

`build_transfer_tx()`, `build_multisig_tx()`, `submit_tx()`, and `wait_for_confirmation()`. UTxO selection defaults to PyCardano’s `LargestFirstSelector` with a 200,000 lovelace fee buffer, avoiding the fragmentation risks of a naive greedy algorithm when users accumulate many small signature token UTxOs. The `RandomImproveSelector` is available as an alternative for better UTxO set distribution. Maximum transaction size is 16,384 bytes.

### C. Database Schema

Nine tables in SQLite track local state across the credential lifecycle (Table III).

Mithril snapshot proofs provide a planned extension for light-client enterprise verification, enabling third parties to verify credential state without running a full Cardano node (2026 roadmap).

### D. Library API

The package exposes a comprehensive Python API for credential lifecycle management: wallet generation (`generate_wallet`, `create_authority_wallet`), license minting (`mint_license_nft`, `build_cip25_metadata`), signature operations (`sign_document`, `verify_signature`), validity management (`mint_validity_token`, `check_validity`, `renew_validity`), and dues enforcement (`deploy_dues_contract`, `pay_dues`). All functions are async and designed for integration with web frameworks, CLI tools, or custom dashboards.

## V. SECURITY ANALYSIS

### A. Threat Model

We identify six attack surfaces, illustrated in Fig. 6, assessed by likelihood, impact, and mitigations.

**AS-1: Key Compromise.** Mitigated by AES-256-GCM encryption at rest, restrictive file permissions, time-locked policies, key rotation via new policy, and HD derivation from mnemonic stored separately.

**AS-2: Policy Bypass.** Mitigated by deterministic policy ID (Blake2b-224 hash), ScriptPubkey enforcement at the ledger level, policy ID verification against authority registry, and the `is_registered_authority()` function.

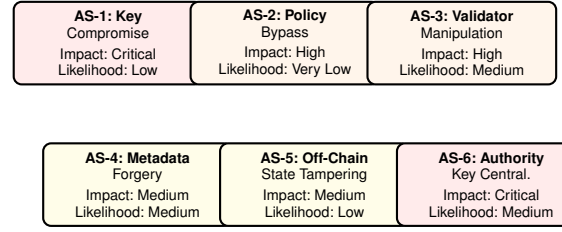


Fig. 6. Attack surface map with impact and likelihood assessment for six identified threats.

TABLE IV  
ON-CHAIN TRANSACTION COSTS

| Operation                     | Tx Fee (ADA) | Min UTxO (ADA) | Total (ADA)       |
|-------------------------------|--------------|----------------|-------------------|
| Mint License NFT              | ~0.2         | ~2.0           | ~2.2              |
| Mint Sig Tokens (batch 100)   | ~0.2         | ~2.0           | ~2.2              |
| Mint Validity Token           | ~0.2         | ~2.0           | ~2.2              |
| Sign Document (deposit)       | ~0.2         | ~2.0           | ~2.2              |
| Finalize Work Product         | ~0.3         | ~2.0           | ~2.3              |
| Renew Validity                | ~0.2         | ~2.0           | ~2.2 + dues       |
| Revoke License (datum update) | ~0.3         | 0              | ~0.3 <sup>†</sup> |

<sup>†</sup>Revocation via CIP-68 datum update modifies the authority-held Reference Token in place; the ~2.0 ADA minUTxO deposit remains locked at the Reference Token UTxO. If the authority later burns the token entirely, the locked minUTxO is recovered, yielding a net refund of ~1.7 ADA.

Note: Hydra state-channel batching (2026 roadmap) reduces effective cost to sub-0.01 ADA for high-volume renewals.

**AS-3: Validator Manipulation.** Mitigated by authority-gated finalization, signer PKH validation, validity slot checking, document hash binding, and deposit slot recording.

**AS-4: Metadata Forgery.** Mitigated by policy-bound metadata, pre-submission validation, and on-chain immutability.

**AS-5: Off-Chain State Tampering.** Mitigated by treating on-chain data as source of truth, periodic reconciliation, database integrity constraints, and application-layer access control.

**AS-6: Authority Key Centralization.** A single Ed25519 authority key represents a centralization risk; compromise would allow unauthorized credential issuance. Mitigated by migration to KERI AID delegation (Veridian standard [38]) or Cardano ScriptNofK multi-sig (3-of-5), distributing trust across geographically dispersed key holders with hardware wallet enforcement.

## VI. PERFORMANCE CHARACTERISTICS

### A. On-Chain Costs

Table IV summarizes on-chain costs for key operations. Minting operations use native script execution (zero Plutus execution fees, ~0.17 ADA). Validator operations (signature collection, dues enforcement, CIP-68 datum updates) use Plutus V2 execution and incur additional CPU/Memory fees (~0.3–0.5 ADA total).

### B. Throughput and Latency

Cardano achieves ~20-second block intervals with ~90 KB maximum block size. A typical mint transaction is 500–800

TABLE V  
ANNUAL COST PROJECTION FOR 10,000 LICENSES

| Operation              | Cost (ADA) | Annual (USD)         |
|------------------------|------------|----------------------|
| License mint (Plutus)  | 1.5–2.0    | \$4,500–6,000        |
| Signature (per signer) | 0.3–0.5    | \$900–1,500          |
| Dues payment           | 0.3        | \$900                |
| Verification (API)     | 0          | Free                 |
| <b>Total</b>           |            | <b>\$6,300–8,400</b> |

bytes, yielding 110–180 mints per block (5–9 tx/s). Practical confirmation requires 1–3 blocks (20–60s); probabilistic finality is reached in  $\sim 5$  minutes.

### C. Off-Chain Performance

Wallet generation completes in  $< 50$ ms, key operations in  $< 10$ ms, SQLite queries in  $< 5$ ms, Blockfrost API calls in 200–500ms, transaction building in  $< 100$ ms, full `sign_document()` in 1–3s, and full `verify_signature()` in 500ms–1s.

### D. Annual Cost Projections

Table V projects annual operating costs for a 10,000-license deployment at current ADA prices (\$0.30/ADA).

Compared to current verification service fees (\$5–25 per query from FSMB, Nursys, etc.), the blockchain approach is 10–50 $\times$  cheaper at scale.

## VII. USE CASES

### A. Professional Engineering Stamp

Jane Smith, PE, holds a California license and needs to stamp a seismic retrofit design for a Nevada project. Under current practice, Jane must: (1) verify her California PE license, (2) apply for Nevada reciprocity (4–8 weeks), (3) stamp documents meeting Nevada requirements, and (4) ensure independent verifiability.

With the proposed system, the California Board mints a license NFT (CIP-25 metadata: type=PE, jurisdiction=US-CA, number=PE-2026-00042). Jane receives 100 signature tokens and a validity token. Nevada mints a reciprocal NFT cross-referencing California’s. To stamp, Jane deposits a signature token and validity token into the work product validator. The reviewing PE performs the same. Verification completes in  $< 5$  seconds versus days for manual verification. If California disciplines Jane’s license, the board updates the CIP-68 Reference Token datum to `status: revoked`—requiring only the board’s authority key and no interaction with Jane’s wallet. The revocation propagates globally within  $\sim 5$  minutes. Reciprocity via cross-referenced NFTs can be optionally anchored to Veridian ACDC for eIDAS 2.0 interoperability [38].

### B. Medical License Interstate Practice

Dr. Michael Chen holds a Massachusetts medical license and practices telemedicine in four additional states via the IMLC. Currently, even with the IMLC’s streamlined process,

Dr. Chen faces 4–6 weeks per state application, with the FCVS creating redundant verification cycles.

The Massachusetts board mints a license NFT (type=MD, specialty=Internal Medicine). The IMLC Commission mints compact license NFTs cross-referencing it. Real-time verification replaces the multi-day FCVS process. If Massachusetts takes an adverse action, the board updates the CIP-68 Reference Token datum to `status: revoked` in a single transaction—requiring only the board’s authority key. The revocation cascade—from board action to nationwide effect—completes within the  $\sim 5$ -minute Cardano finality window versus weeks through the NPDB [18], [21]. Cross-jurisdiction reciprocity via cross-referenced NFTs can be optionally anchored to Veridian ACDC for eIDAS 2.0 interoperability [38].

### C. Legal Document Execution

A commercial real estate closing requires signatures from the buyer’s attorney, the seller’s attorney, and a notary public. Each professional’s bar association or notarial commission operates a separate minting authority. The work product validator collects credential-verified signatures with `SignerDatum` recording each signer’s PKH, document hash, policy ID, validity expiry, and deposit slot. The on-chain record proves: each signer held a valid credential at signing time, the document is unaltered (SHA-256 integrity), and the exact time and order of signatures. Under Vermont’s 12 V.S.A. §1913, this record carries a rebuttable presumption of authenticity [26]. Under ESIGN, all four requirements (intent, consent, association, retention) are satisfied [13]. Cross-jurisdiction reciprocity via cross-referenced NFTs can be optionally anchored to Veridian ACDC for eIDAS 2.0 interoperability [38].

### D. Academic Credentials and Certification

Dr. Sarah Williams holds a PhD (MIT-minted NFT), CISSP certification ((ISC)<sup>2</sup>-minted NFT), and a Texas PI license. Each credential exists as an independent NFT under distinct authority policies. The CISSP demonstrates the dues enforcement contract: the validity token expires annually and renews only upon verified CPE completion and dues payment. A federal investigator verifies all three in seconds by checking policy IDs against registered authorities—replacing 3–6 weeks of manual verification [34]. Reciprocity via cross-referenced NFTs can be optionally anchored to Veridian ACDC for eIDAS 2.0 interoperability [38].

Fig. 7 illustrates the license issuance and verification sequence.

## VIII. COMPARATIVE ANALYSIS

Table VI compares the proposed system against four representative alternatives across nine dimensions critical for professional credential management.

The fundamental architectural distinction is the treatment of credentials as *data documents* (Blockcerts, Aries/Indy, Idemix) versus *first-class blockchain assets* (this system). In Blockcerts, the blockchain serves only as a timestamping

TABLE VI  
COMPARATIVE ANALYSIS ACROSS NINE DIMENSIONS

| Dimension   | Blockcerts        | Aries/Indy        | Identus          | Trad. PKI    | Veridian            | This System                   |
|-------------|-------------------|-------------------|------------------|--------------|---------------------|-------------------------------|
| Blockchain  | Bitcoin/Eth.      | HL Indy (perm.)   | Cardano          | None (CAs)   | Off-chain VC + hash | <b>Cardano</b>                |
| Cred. model | Off-chain JSON-LD | VC + AnonCreds    | VC, DID-anchored | X.509 certs  | ACDC accumulator    | <b>On-chain NFT</b>           |
| Issuance    | Issuer key        | Schema + cred def | DID ops          | CA hierarchy | Issuer key          | <b>Plutus policy</b>          |
| Revocation  | Issuer list       | Rev. registry     | DID deactivation | CRL/OCSP     | Protocol-level      | <b>CIP-68 datum Validator</b> |
| Multi-sign  | None              | Limited           | None             | Cross-cert   | None                | <b>Dues contract</b>          |
| Payment     | None              | None              | None             | None         | None                | <b>Dues contract</b>          |
| Privacy     | None              | AnonCreds ZKP     | Selective discl. | None         | Selective discl.    | None (CIP-25)                 |

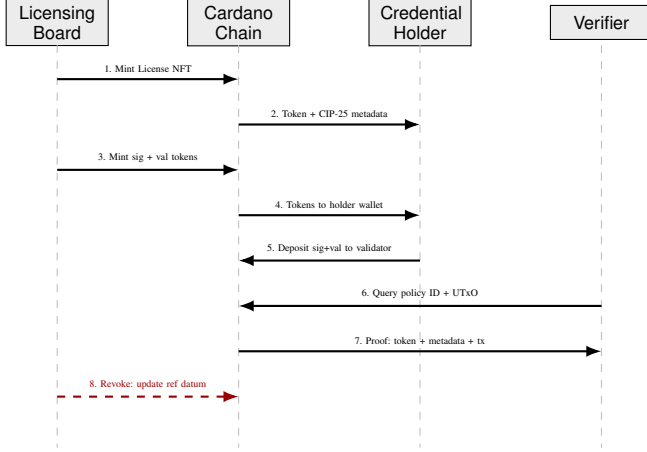


Fig. 7. Sequence diagram: credential lifecycle from issuance through verification and revocation.

service; credentials exist off-chain with issuer-hosted revocation lists. If the issuer’s server is offline, revocation status is unknowable. Our system implements revocation through CIP-68 Reference Token datum updates—the authority sets `status: revoked` on the Reference Token it controls, instantly verifiable by any party via inline datum inspection, and independent of issuer server availability.

Aries/Indy’s primary advantage is privacy through AnonCreds: selective attribute disclosure without revealing the credential itself. For professional credentials, however, this trade-off is less acute—a PE stamp must identify the engineer, a medical license must be publicly verifiable, and bar membership is a matter of public record [16].

Identus (formerly Atala PRISM) is the closest competitor as the only existing Cardano-based system. However, Identus treats credentials as off-chain documents referenced by DIDs, while our system treats them as on-chain native tokens. Our approach eliminates the DID resolution layer entirely—a license NFT’s existence in a wallet is proof of licensure [17].

Traditional PKI’s institutional maturity (every browser and email client supports X.509) remains unmatched, but PKI has structural limitations: CA compromise affects all issued certificates (DigiNotar 2011, Symantec 2017), CRL-based revocation is periodic not real-time, and cross-jurisdiction recognition requires bilateral cross-certification that scales

poorly with 5,000+ licensing boards.

The gap analysis confirms that no existing system provides the combination of: (1) credentials as first-class blockchain assets, (2) authority-restricted on-chain issuance, (3) immediate on-chain revocation, (4) native multi-party signing, and (5) automated dues enforcement. The primary trade-offs are the absence of zero-knowledge privacy (available in Aries/Indy) and W3C VC interoperability (available in Blockcerts).

## IX. LEGAL COMPLIANCE ANALYSIS

### A. ESIGN Act Compliance

The system satisfies all four ESIGN requirements: (1) **Intent**—deliberate `sign_document()` invocation with key decryption; (2) **Consent**—explicit acceptance during onboarding; (3) **Association**—SHA-256 document hash in SignerDatum with cryptographic transaction binding; (4) **Retention**—immutable blockchain storage replicated across thousands of nodes [13], [32].

### B. UETA Compliance

Cardano’s Ed25519 cryptography provides strong attribution under UETA Section 9. Nine blockchain-amended states provide explicit statutory recognition. Arizona’s HB 2417 recognizes blockchain signatures and smart contracts as valid legal agreements. Vermont’s 12 V.S.A. §1913 creates a rebuttable presumption of authenticity [25], [26].

### C. eIDAS 2.0 Compliance

The system natively meets all four Advanced Electronic Signature (AES) requirements under Article 26: unique signatory linkage (Ed25519 key), signatory identification (PKH-to-identity binding), sole control (encrypted private key), and data linkage (SHA-256 hash). The Qualified Electronic Ledger category (Article 45l) provides a pathway for Cardano’s formally-verified Ouroboros consensus [15].

### D. GDPR Reconciliation

The General Data Protection Regulation’s right to erasure (Article 17) presents the most significant legal challenge for blockchain-based systems. The EDPB’s April 2025 guidelines state that technical impossibility is not an excuse for non-compliance, with penalties up to 20 million EUR or 4% of global revenue [30].



TABLE VII  
REGULATORY REQUIREMENTS BY JURISDICTION (2024–2025)

| Jurisdiction   | Framework                    | Key Requirements                                    |
|----------------|------------------------------|-----------------------------------------------------|
| EU             | GDPR / MiCA                  | Data minimization, right to erasure, VASP licensing |
| USA (Federal)  | ESIGN Act                    | Technology-neutral; 4 requirements for e-signatures |
| USA (9 states) | UETA + blockchain amendments | Explicit blockchain recognition                     |
| Taiwan         | MCLA 2024                    | VASP registration with FSC by late 2025             |
| India          | Contract Act (1872)          | Ongoing digital contract harmonization              |

The system uses architectural separation: **on-chain data** is limited to minting policy IDs (cryptographic hashes), token asset names, transaction signatures (public key hashes), CIP-25 metadata fields, and slot timestamps. **Personal data**—names, license numbers, addresses—resides exclusively in the encrypted local database. GDPR erasure requests are handled through **crypto-shredding**: destroying the per-credential encryption key renders off-chain personal data permanently inaccessible while on-chain hashes become meaningless. This approach aligns with CNIL guidelines recognizing that storing only encrypted or hashed data on-chain, combined with key destruction, constitutes a compliant architecture [29]. Veridian ACDC provides native selective disclosure for AES/QES tier while retaining the proposed on-chain atomicity, offering a complementary privacy layer for GDPR-sensitive deployments [38].

#### E. Regulatory Landscape

Table VII summarizes key jurisdictional requirements.

### X. RELATED WORK: TOKEN STANDARDS AND SECURITY FRAMEWORKS

#### A. Token Standard Economics

The economic viability of blockchain-based licensing is fundamentally linked to token standard selection. The ERC-721 standard requires a unique smart contract per collection and separate transactions per transfer. During high network activity, Ethereum gas fees have exceeded 500 gwei, resulting in minting costs above \$100 per NFT. ERC-1155 provides native batch operations, reducing gas costs by up to 90% for high-volume scenarios. Cardano’s native multi-asset model eliminates this trade-off entirely—tokens exist at the ledger level with no contract execution overhead.

Operational benchmarking demonstrates that Ethereum’s median gas prices (\$20.40–\$36.57 per function execution) render it unsuitable for emerging markets. Research on Polygon zkEVM shows a 99.90% cost reduction, with deployment fees dropping from \$143.25 to \$0.14. For a licensing system to achieve positive ROI, transaction costs must remain below 0.1% of asset value—currently achievable only through L2 solutions or alternative L1 chains.

TABLE VIII  
SECURITY AUDIT CHECKLIST FOR LICENSING SMART CONTRACTS

| Vulnerability    | Description                           | Remediation                                 |
|------------------|---------------------------------------|---------------------------------------------|
| Reentrancy       | External calls drain funds or re-mint | Checks-Effects-Interactions pattern         |
| Gas Limit DoS    | Unbounded loops exceed block gas      | Optimize storage; avoid unbounded loops     |
| Access Control   | Missing <code>onlyOwner</code> guards | Role-based modifiers on all admin functions |
| Integer Overflow | Arithmetic on unchecked values        | SafeMath or Solidity 0.8+                   |
| Front-Running    | MEV bots extract value                | Commit-reveal or batch processing           |

#### B. Security Auditing and Formal Verification

Given smart contract immutability, security auditing is paramount. The current standard combines static analysis (Slither for reentrancy and storage pointer vulnerabilities), symbolic execution, and fuzz testing (Echidna). Formal verification tools like the Certora Prover use mathematical proofs to ensure contract invariants hold under all possible inputs—for instance, verifying that “a license key cannot be issued without a verified payment event.”

Table VIII presents the audit checklist for blockchain licensing systems.

For high-value licensing systems, a multi-signature wallet with  $\geq 60\%$  threshold (e.g., 5-of-9) should be mandatory for contract upgrades and royalty withdrawals. Geographic distribution of key holders and hardware wallets prevent single points of failure.

**Post-Quantum Readiness.** The current Ed25519 signature scheme is vulnerable to quantum computing advances. Embedding FALCON lattice-based signatures (Midnight libraries, Q1 2026) provides a migration path to post-quantum security without altering the credential architecture.

### XI. LIMITATIONS AND FUTURE WORK

**On-Chain Enforcement.** Native scripts limit on-chain logic to key-based and time-based conditions. Migration to full Plutus V3 validators (PV11) would enable atomic dues verification, on-chain signer membership checks, and ledger-level temporal validation at the cost of increased fees (0.5–1.5 ADA per execution).

**Privacy.** CIP-25 metadata is publicly visible. Three mitigations exist: off-chain metadata with hash references, CIP-68 migration for updatable datums, and Halo2 ZKP predicates (arXiv:2502.02520v2 [40]) inside the `SignatureCollectionValidator` enabling credential proofs without revealing underlying data. Identus Halo2 predicates [39] provide a compatible implementation path.

**Authority Key Governance.** The single-key authority model is a centralization risk. Multi-signature governance using KERI AID (Veridian standard [38]) or Cardano `ScriptNofK` (3-of-5) would distribute trust across geographically dispersed key holders with hardware wallet enforcement.

**Scalability.** At 100,000 licensees, minimum locked ADA is ~600,000 ADA (~\$240K). Token bundling, CIP-68 patterns [11], and Hydra heads could reduce this by >90%.

**W3C Interoperability.** A VC-JWT/VC-JSON-LD wrapper layer would bridge the gap between CIP-25 NFTs and the broader verifiable credential ecosystem (arXiv:2601.02720 [41]).

**DID Integration.** Integrating with did:prism or a custom did:cardano method would provide standards-compliant identity resolution and key rotation.

**Offline Verification.** A lightweight protocol based on cached credential snapshots with cryptographic freshness proofs (Mithril snapshots) would extend utility to connectivity-constrained environments.

## XII. CONCLUSION

This paper has presented a blockchain-based professional licensing and digital signature system built on Cardano’s native multi-asset model and Plutus V2 smart contract capabilities. The system addresses four fundamental weaknesses of current credential verification infrastructure:

**Centralized revocation** is replaced by CIP-68 Reference Token datum updates under authority-controlled policies, propagating globally within ~5 minutes versus days-to-weeks through current systems. The authority updates the datum unilaterally—no interaction with the licensee’s wallet is required.

**Off-chain policy enforcement** is replaced by on-chain minting policy constraints with deterministic, independently verifiable policy IDs.

**Disconnected payment rails** are replaced by dues enforcement contracts that atomically link payment verification to validity token renewal.

**Limited multi-party workflows** are replaced by signature collection validators that create immutable, timestamped on-chain records linking credentials to signed documents.

The four use case scenarios demonstrate practical applicability across the professions most affected by credential verification failures. With 660 passing tests across wallet management, token operations, smart contract deployment, and transaction building, the implementation demonstrates technical feasibility. Future work prioritizes full Plutus V3 on-chain validators, privacy-preserving credential references via Halo2 ZKP predicates, and W3C Verifiable Credentials interoperability. The architecture is positioned as a production complement to Veridian/Idemix for public-record regulated professions (medical, legal, engineering).

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